charging all commission. Net profit for the year ended 31st December 2018 before charging any commission was ₹ 60,000. Find the commission of Sibi and Manoj. Also show the distribution of profit.

(Answer: Commission to Sibi: ₹ 12,000; Commission to Manoj: ₹ 8,000
Share of profit: Sibi: ₹ 20,000; Manoj: ₹ 20,000)

21. Anand and Narayanan are partners in a firm sharing profits and losses in the ratio of 5:3. On 1st January 2018, their capitals were ₹ 50,000 and ₹ 30,000 respectively. The partnership deed specifies the following:

(a) Interest on capital is to be allowed at 6% per annum.

(b) Interest on drawings charged to Anand and Narayanan are ₹ 1,000 and ₹ 800 respectively.

(c) The net profit of the firm before considering interest on capital and interest on drawings amounted to ₹ 35,000.

Give necessary journal entries and prepare profit and loss appropriation account as on 31st December 2018. Assume that the capitals are fluctuating.

(Answer: Share of profit: Anand: ₹ 20,000; Narayanan: ₹ 12,000)

22. Dinesh and Sugumar entered into a partnership agreement on 1st January 2018, Dinesh contributing ₹ 1,50,000 and Sugumar ₹ 1,20,000 as capital. The agreement provided that:

(a) Profits and losses to be shared in the ratio 2:1 as between Dinesh and Sugumar.

(b) Partners to be entitled to interest on capital @ 4% p.a.

(c) Interest on drawings to be charged Dinesh: ₹ 3,600 and Sugumar: ₹ 2,200

(d) Dinesh to receive a salary of ₹ 60,000 for the year, and

(e) Sugumar to receive a commission of ₹ 80,000

During the year ended on 31st December 2018, the firm made a profit of ₹ 2,20,000 before adjustment of interest, salary and commission.
Prepare the Profit and loss appropriation account.

(Answer: Share of profit: Dinesh: ₹ 50,000; Sugumar: ₹ 25,000)

23. Antony and Ranjith started a business on 1st April 2018 with capitals of ₹ 4,00,000 and ₹ 3,00,000 respectively. According to the Partnership Deed, Antony is to get salary of ₹ 90,000 per annum, Ranjith is to get 25% commission on profit after allowing salary to Antony and interest on capital @ 5% p.a. but after charging such commission. Profit-sharing ratio between the two partners is 1:1. During the year, the firm earned a profit of ₹ 3,65,000.

Prepare profit and loss appropriation account. The firm closes its accounts on 31st March every year.

(Answer: Commission to Ranjith: ₹ 48,000; Share of profit: Antony: ₹ 96,000;
Ranjith: ₹ 96,000)

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